
CFD3033 · INTRODUCTION TO MARKETING

Company Situation Analysis



Facebook (Meta)

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I. Introduction

Facebook originated from Mark Zuckerberg's previous project Facemash and was launched in 2004 by him along with his Harvard friends Eduardo Saverin, Dustin Moskovitz, and Chris Hughes. TheFacebook, a platform that was first exclusive to Harvard, swiftly spread to other colleges and the public. 2005 led to it renamed Facebook, which by 2009 had overtaken all other social networks. As the youngest self-made billionaire, Zuckerberg has promised to use the Chan Zuckerberg Initiative to contribute half of his money. (Bellis, 2024). In October 2021, Facebook rebranded as Meta to focus on the "metaverse," signaling a shift towards virtual and augmented reality while still supporting Facebook, Instagram, and WhatsApp (Meta, 2021).

Meta Platforms, formerly Facebook Inc., has aligned its mission and vision with its new focus. The mission, "Giving people the power to build community and bring the world closer together," supports user empowerment in both online and virtual spaces. The vision, "To bring the metaverse to life and help people connect, find communities, and grow businesses," reflects Meta's goal of establishing a comprehensive metaverse (Smithson, 2023). Facebook's diverse products include Profile and News Feed for updates, Messenger for messaging, Groups and Events for community management, and various tools for media sharing and connectivity, including Facebook Lite and Free Basics (myshadow.org, 2016).

II. Marketing Environment Analysis

1. Microenvironment Analysis

- Suppliers of Facebook:

In October 2016, Facebook launched its Supplier Diversity Program to help diverse-owned companies do business with the company and leverage its platform to connect with communities. By 2017, Facebook had spent \$204.9 million with U.S. companies privately certified as majority-owned, operated, and controlled by racial and ethnic minorities, women, veterans, LGBTQ individuals, and differently abled entrepreneurs, with an additional \$28.7 million spent on companies certified through public programs. Diverse-owned suppliers have contributed significantly, providing unique insights and innovations, such as a minority and women-owned agency helping Facebook understand small business needs, and an LGBT-owned firm designing Facebook's Seattle Pride float. Moving forward, Facebook aims to expand opportunities for diverse suppliers and transform how these businesses connect with customers, demonstrating its commitment to fostering economic opportunity and inclusivity. (Meta, 2018)

- Competitors:

Facebook is perhaps the first social media platform that springs to mind when we consider using it for extended periods of time. With over 2 billion active users, Facebook is the most popular social media site and is nearly a byword for social media these days. However, according to the user-base, Facebook isn't the only website when it comes to social media networking. It shares its user-base with the following competitors such as TikTok, X, Snapchat, etc. If we talk about stats, TikTok is surely dominating Facebook when it comes to generation Z as the target audience of which 41% of TikTok users are aged between 16 and 24. It surely understood the habits and preference of this age group better than Facebook. On the other hand, X (Twitter) is different from Facebook. Facebook connects people where can write a post of unlimited characters. Users can make "friends". Like, comment, and share the post of their choice which remains evergreen. Even they can message instantly and play games on Facebook. While X (Twitter) connects ideas and interest. Users can "follow" others, can find the latest trending news. They can post and repost their response, but it is limited to 280 characters only. But due to constant real-time interaction, the contents have a short lifespan. However, Facebook's revenue model is a lot like X(twitter) and both compete for getting as much as user attention and as many ads as they can. Moreover, Snapchat is a big competitor to Facebook and its subsidiaries like Messenger and Instagram when it comes to instant messaging and photo and video sharing. The Snapchat versus Facebook debate has been going on ever since Snapchat said no to being acquired by Facebook. Facebook, since then, has successfully been able to copy most of the features from the original application and added the feature of stories, instant photo, messages to Instagram, Messenger, and WhatsApp, making their business models like Snapchat's business model. (Das, 2023)

2. Macroenvironment Analysis

- Demographic

Popular User Demographic on Facebook Globally, men make up 56.7% of Facebook users, while women make up 43.3%. "Blacklink" claims that many younger generations have grown up on Facebook since the platform's 2004 debut. The user base grows together with the social network as new tools, algorithms, and trends are added. Furthermore, in 2023, Americans over the age of 18 spent an average of 30.9 minutes a day on Facebook, citing an eMarketer report. This is less than the 33 minutes in 2021 and 2022 by 2.1 minutes. (Sajida, 2019)

- Economic

Facebook has altered economies worldwide over the past 20 years. Imagine that in 2004 Facebook had been launched as the "hot or not" website "Facemash" in a dorm room at Harvard.

Currently, however, it is the massive firm Meta platforms Inc., which has a market valuation of one trillion dollars and over three billion active users. What effects has Facebook had on the economy in its 20 years of existence? The company's effect in politics and society has been covered extensively in literature. Facebook is used by over 1.35 billion people to interact with friends and family. This research examines the three main ways that Facebook boosts employment and economic activity: as a platform for app development; as a tool for marketers of all sizes; and as a connector. According to estimates, Facebook enabled 277\$bn in economic effect and 4.5 million employments worldwide in 2014 through these channels. (Deloitte, 2015)

- Social & Cultural

With more than 80% of its users coming from outside the US and Canada, Facebook has gained popularity throughout several nations. However, despite its widespread use, little is known about how people in non-Western cultures use Facebook. Facebook use was investigated in cross-cultural research involving undergraduate students from Namibia and the United States. Focus groups and internet surveys were employed in tandem by the study in both nations. The study looked at topics including friendships, privacy, trust, and usage reasons as well as life-altering events like marriage, divorce, pregnancy, death, and politics. The results point to the effect of culture on activities that are both offline and online, as well as the appropriation and recontextualization of behaviors to suit preexisting offline cultural norms. More users from Namibia, where family and community structures are significant, continue to engage in online behavior that is more open and transparent, whereas participants from the United States are adjusting their behavior toward increasing self-censorship. The results also point to an expressive privacy paradox for individuals from the United States, who self-censor despite usually being less concerned about changing their privacy settings. (Peters, 2015)

- Technological Forces

Facebook is the most popular and effective social media network, and users are spending more and more time there. Media technologies have long been seen to be significant for the overall organization and perception of time. In this piece, we examine Facebook's technical affordances for its users' temporal experiences. Utilizing a Facebook page devoted to media memories as a case study, we establish a connection between user experiences and institutional and technical affordances. By doing this, we aim to address the topic of how users who participate in a variety of durations and temporal layers in their daily lives feel and navigate a business model and a system that are primarily built on immediacy and newness. Utilizing a platform analysis, in-depth interviews, and a user survey from the page "DT64—Das Jugendradio der DDR," we formulate the idea of "social media time" while taking ideas like narrative, flow, and archive into account. These ideas

help to clarify how particular media technologies enable temporalities. We wrap off by talking about the implications for both users and society. (Buresova, 2016)

III. Current Marketing Situation

Facebook is attempting to establish itself as the central point of internet retail. With a growing number of features like Facebook Shops and direct purchase options on company pages, companies are able to provide customers with frictionless buying experiences right on the platform. Given that 37% of Facebook users made purchases in 2023, it is anticipated that this tendency will continue. To take advantage of this opportunity, businesses are being encouraged to concentrate on streamlining their product listings and connecting their online shops with Facebook. (Bucknell, 2024)

Video content continues to dominate, with Facebook investing heavily in making it easier to create and share videos. Short-form video formats like Facebook stories and Reels are especially popular, aligning with broader social media trends. Facebook is improving its video services to help companies reach their audience more efficiently. These features include 4K live streaming and additional editing tools. Facebook is still using artificial intelligence (AI) to distribute information more efficiently, tailor user experiences, and offer tools like chatbots for automated customer service. In addition, the platform is investigating additional AI applications that might lead to new marketing opportunities for companies, such as AI-based picture production and the incorporation of AR and VR capabilities. (Peters, 2024)

IV. Target Market and Position

1) Target Market

- Demographic

Popular Facebook User Demographic Globally, 56.7% of Facebook users are male compared to 43.3% female users' base. According to "Blacklink" since the platform's launch in 2004, Many younger generations have now growth up with Facebook. As the social network evolves with new tools, algorithms, and trends, so does the user base. Moreover, according to eMarketer study of Americans age 18+, the average time spent on Facebook per day is 30.9 minutes in 2023. This is down 2.1 minutes from 33 minutes in both 2021 and 2022. (Sajida, 2019)

- Geographic

Facebook is available to people all over the world, from cities to rural areas. The platform adapts its services to suit different regions by offering multiple language options and adjusting features to fit local customs and preferences. This way, users from various countries, climates, and communities can connect, no matter where they live. Facebook's ability to reach people across different geographical areas makes it a truly global social media platform. (Dudovskiy, 2017)

- Psychographic

Facebook is designed for people from various backgrounds and interests, which means it appeals to individuals based on their personality, values, and lifestyle. Users often value staying connected with others, and many have social and outgoing personalities. While some use Facebook only for fun or to explore new ideas, others use it to share their accomplishments and experiences. Facebook fits the bill for users who wish to interact with a big community, whether they are using it for business networking or just to catch up with friends. (Dudovskiy, 2017)

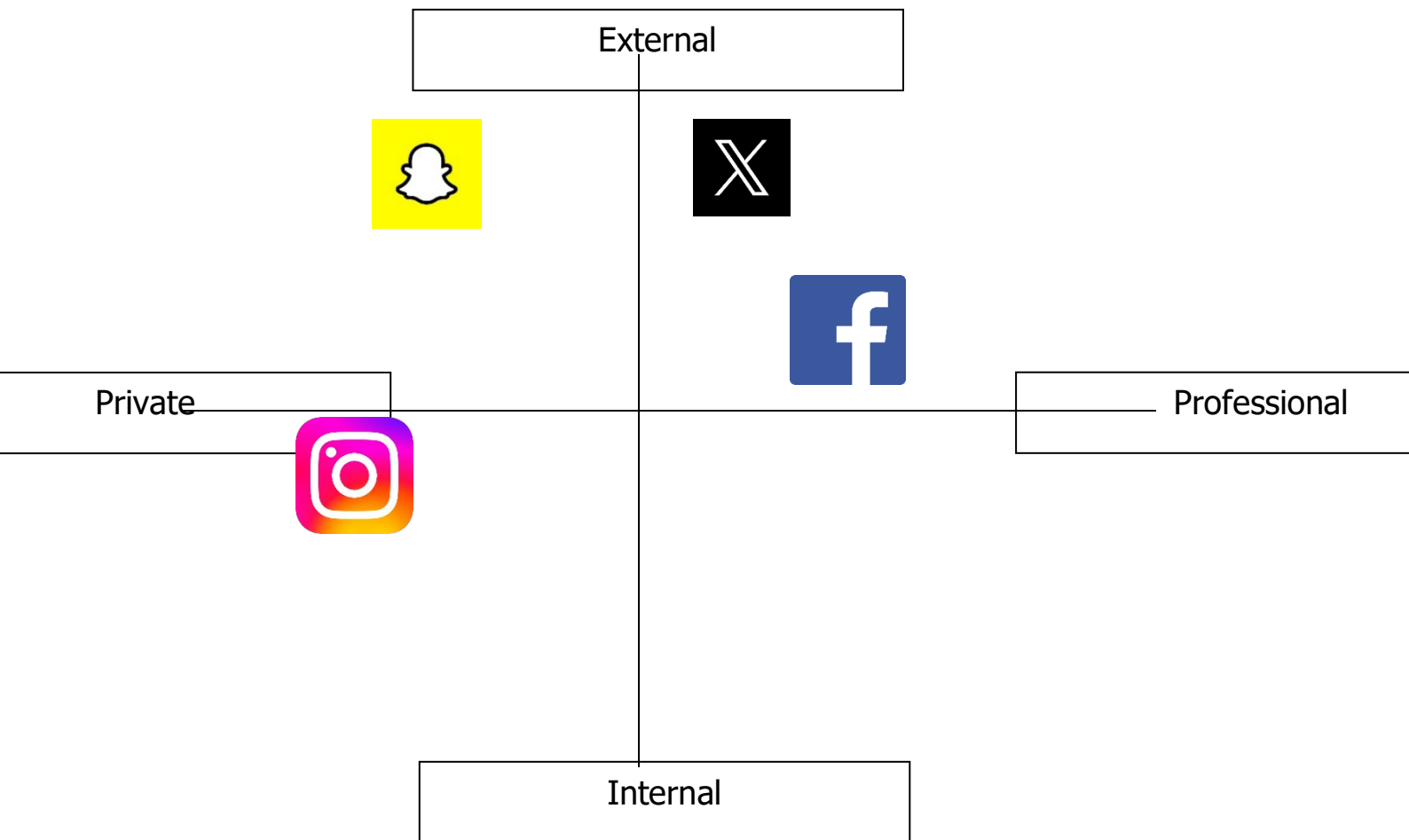
- Behavioral

Facebook groups its users based on how they behave on the platform, such as how frequently they log in, their level of loyalty, and the way they use it. Some users are very loyal, checking the app multiple times a day, while others may only use it occasionally. Users often rely on Facebook for quick communication, keeping up with current events, or even shopping. It caters to different needs, from regular updates to exploring content that aligns with their personal preferences. (Dudovskiy, 2017)

2) Positioning

Facebook places a strong emphasis on community and connectedness as part of its brand positioning. The company seeks to connect people worldwide and promote interpersonal connections through groups and user-generated content. It is an effective tool for digital marketers since it makes use of strong advertising solutions like Meta Business Suite to give companies accurate targeting and interaction analytics. Facebook also promotes the creation of various content, such as photographs, videos, and live streaming, to keep users interested in a variety of media. The platform is appealing to both individual users and organizations due to its adaptability and frequent changes, which enable it stay relevant in the ever-changing digital landscape (Varga, 2024) (Martin, 2024) (Grochalova, 2023).

2.1 Brands position



V. Marketing Strategies (4Ps)

1) Product

The first P stands for product; social networks such as Facebook provide goods which satisfy a lot of social demands by allowing loved ones and friends to communicate electronically without having to physically meet. Due to the ability to communicate with friends and family anywhere in the globe through the internet, this technology has greatly contributed to the global village. Every industry has profited commercially, politically, and socially from this facet of data technology.

In the past, sending and receiving information overseas was limited to postal mail, which meant waiting weeks or even months for a response. Fortunately, today, most information transmitted is instantly responded to.

Facebook has made it possible for friends and family to find and connect with people simply by putting their name into the search bar (if Facebook registration is required). Not only that, but businesses also utilize Facebook as a tool to connect with consumers and convert strangers into friends. Facebook gives users the option to hold events, publish content online, and share images

and professional experiences. Information can also be blocked so that only people you choose are prepared to see what you've uploaded can see it. (Shastri, 2021)

2) Place (Distribution)

Facebook may serve as a platform for people, businesses, and associations to promote their goods and services to the broader public. Additionally, it leads viewers to a website where products and services are listed as being for sale. It claims that production is not finished until the final customer receives the goods and services. Furthermore, Facebook has been a significant player in the modern world of information dissemination. Social networks have closed the transaction that begins on Facebook as part of the selling mix. Other features include the professional networking opportunities provided by Facebook, the job-search routing features of Myspace and LinkedIn, and the usage of social media networks for background checks by hiring managers and college admissions officers. (Shastri, 2021)

3) Promotion

The largest social networking site in the world, Facebook, has unveiled advertising plans that they believe would improve that connection. Facebook's "Facebook Ads" system allows companies to create their own pages that users may suggest to friends. Ads are served using behavioral targeting methods. Social networking has been written off as a fad by some, but with 2.85 billion monthly users worldwide—250 million of whom are in South Asia—it is understandable why most industry professionals think it will persist for a number of years to come.

However, not everyone is certain that users of social networks will appreciate the growing volume of commercial messages on sites, even though few question Facebook marketing's reliability over time. Piczo, the European director of the adolescent social network, "We are very aware that our brand is in some ways owned by the users who created it," says Chris Seth, acknowledging the need for websites to strike the correct balance. We must continue providing for their needs, and if we do anything that they don't like, we have to promptly reconsider. However, 95% of the products we make get good feedback. (Shastri, 2021)

4) Price

In the mix, pricing is crucial and sensitive since, under normal circumstances, high prices induce customers to switch their demand from the product in question to that of the competition, which will lead to the product's failure. In addition, if a product is inexpensive, buyers can even see it as inferior and decide not to purchase it. In social networks, the pricing in question is contingent upon the number of users on the network as well as the advertiser and service provider. Because a social network with a larger member base will likely attract more organizations, more charges will be paid

by the service provider than one with a smaller member base. This is why Facebook is better than all other social networks. Furthermore, a manufacturer with a larger client base is likely to adhere to pricing guidelines more closely than one with a smaller one. In conclusion, in the modern business environment, a Facebook marketing mix that works well will be very beneficial to both individuals and companies. (Shastri, 2021)

VI. Swot Analysis of Facebook

1) Strengths

Facebook has over 2.8 billion monthly active users and is one of its greatest assets; this allows it to reach a far wider audience with customized advertising. Due to its well-known brand, it is difficult for rivals to undermine its position since it fosters confidence and credibility around the world. Additionally, the ownership of Instagram and WhatsApp diversifies its platform, appealing to various user demographics. As a leader in digital advertising, Facebook benefits from sophisticated targeting options and extensive user data. Moreover, continuous innovation keeps users engaged and helps Facebook maintain its competitive edge. (Pereira, 2023)

2) Weaknesses

Facebook faces significant weaknesses, particularly regarding privacy concerns, as its data collection practices have raised questions about user transparency and security. Content moderation remains a challenge, especially with issues like misinformation and harmful material. Also, Scandals like the Cambridge Analytica issue have also damaged Facebook's credibility. Additionally, the firm has difficulties because of governments throughout the world implementing stricter data privacy rules, and its large dependence on advertising revenue makes it vulnerable to shifts in the ad sector and broader economic trends. (Pereira, 2023)

3) Opportunities

There are numerous growth opportunities for Facebook, starting with the expanding digital advertising market, which continues to provide substantial revenue potential. There is more space for expansion inside its ecosystem due to the incorporation of e-commerce capabilities like Marketplace and Instagram Shopping. Through its efforts in augmented and virtual reality, particularly through Oculus, Facebook has the potential to create social experiences that are fully immersive. Improving the user experience may increase engagement and loyalty, and collaborating with brands and digital firms may present new opportunities to broaden the company's services. (Pereira, 2023)

4) Threats

Facebook is confronted with several external threats, such as fierce rivalry from social media sites like Twitter, Snapchat, and LinkedIn, which consistently provide new features to draw in users. Facebook's ad income may face challenges from the emergence of ad-blocking software and potential declines in engagement due to changes in user behavior such as digital weariness. Regulatory restrictions in various countries, such as bans in China, limit its global reach. Finally, the company remains vulnerable to data breaches, which, as seen with incidents like Cambridge Analytica, can damage its reputation and raise significant security concerns. (Pereira, 2023)

VII. Recommendation

Based on Facebook's marketing tactics and SWOT analysis, several recommendations might help it perform better. Facebook should prioritize strengthening its safety features in order to address privacy concerns. This would improve user engagement and trust. Second, in order to better target specialized markets and bring in more advertisers and boost revenue, Facebook ought to expand the scope of its advertising offers. Additionally, Facebook should invest in innovative features and integrating advanced technologies like AI could enhance user experience and keep Facebook competitive. Lastly, it should improve customer support and addressing user feedback more effectively can help maintain a positive reputation and user satisfaction. By implementing these strategies will not only address current challenges but also position Facebook for future growth.

VIII. Conclusion

The analysis of Facebook shows it has a huge number of users worldwide, making it a major player in social media and online ads. Its strengths include its broad reach, strong brand, and ongoing innovation. However, the company has to deal with privacy concerns, regulatory issues, and tough competition. While there is potential for new technology and e-commerce to expand, there are also hazards, such as shifting consumer behaviors and data breaches. In summary, Facebook is well-positioned to expand, but in order to thrive going forward, it will need to address issues related to privacy and discover additional sources of income.

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